US Observer and Market Practice Group [1]

US Market Practice on Postal Address formatting requirements during the Coexistence Period [2]

("ISO 20022 US Market Practice for postal address data")

11 July 2025

I. Introduction

The Swift community and several payment market infrastructures have decided to migrate to ISO 20022 between 2023 and 2025. As migrations and Message Usage Guidelines (MUG) changes will not occur at the exact same time, interoperability challenges might occur during the period when CBPR+ ISO 20022, Swift MT, and Fedwire Funds and CHIPS formats coexist.

II. Potential issues

Section 1 - From July 2025 till November 2025:

(1) **Use Case 1:** The Fedwire Funds Service will enable use of a hybrid postal address [3] format for *new parties* [4] as of 14 July 2025. Between July 14, 2025 and November 22, 2025 (when CBPR+ will enable hybrid postal address for all parties and agents) Fedwire ISO 20022 messages that contain *Address Line* (2 x 70 characters = 140 characters) as enabled under the hybrid format may require mapping of those address lines into a fully structured or fully unstructured (3 x 35 characters = 105 characters) postal address component of a CBPR+ message (where until November 2025 only the fully structured or fully unstructured options are enabled).

(2) **Use Case 2:** CBPR+ messages exchanged on Swift FINPlus allow *Ultimate Creditor* to be transmitted with Name & Postal Address information that only contains *Country* while Fedwire Funds and CHIPS require *Town Name* and *Country* for Name and Postal Address

(3) **Use Case 3:** Direct and Cover payments pose a particular challenge as the address format and data in the direct message using the CBPR+ message (pacs.008) might differ from the cover payment message sent via Fedwire (pacs.009COV) as the pacs.008 data must be mapped unchanged into the pacs.009 COV underlying block.

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[1] Bank of New York, Citibank, Deutsche Bank Trust Company Americas, Federal Reserve Bank of New York, Goldman Sachs, JP Morgan Chase, Loomis, Sayles & Company, MUFG Union Bank, State Street, The Clearing House, Wells Fargo Bank.

[2] Period where implementation of Swift FINPlus (CBPR+ guidelines) and Fedwire/CHIPS (HVPS+ guidelines) are not aligned.

[3] A hybrid postal address allows the combined usage of structured elements (requiring at least Town Name and Country) and up to 2 occurrences of unstructured address lines.

[4] Ultimate Creditor, Ultimate Debtor, Initiating Party, Invoicer, Invoicee, Garnishee, Garnishment Administrator, and Originator.

Section 2 - From November 2025 till Fedwire Funds Service future maintenance:

(4) **Use Case 4:** The Fedwire Funds Service will not enable the hybrid postal address (i.e., will only allow fully unstructured or fully structured options) for existing parties and all agents when CBPR+ introduces the hybrid postal address as a third option next to fully unstructured and fully structured in November 2025. Fedwire Funds Services has not set a date yet when the hybrid address format will be enabled for all parties and agent elements and when unstructured address data will be removed for all parties and agents. The US industry will therefore be exposed to a period of time where inbound incompatible address formats between cross-border and domestic payments need to be managed.

Section 3 - From November 2026:

(5) **Use Case 5:** If the Fedwire Funds Service were not to maintain its initial implementation by November 2026, then fully unstructured address would remain allowed for existing parties and all agents when CBPR+ removes this fully unstructured address option in November 2026.

Section 4 - Other risks:

(6) **Use Case 6:** The Fedwire Funds Service and CHIPS have relaxed their validation rules to allow new parties to be identified by name only (with a recommendation to provide postal address information) while CBPR+ will have a textual rule (not validated on Swift FINPlus) requiring name and minimal postal address information (unless a BIC is provided). Therefore, absence of postal address information in Fedwire Funds Service or CHIPS messages forwarded into CBPR+ space may result in returned or rejected payments by receiving correspondents (but would not cause Swift rejections).

III. Market practices to address interoperability issues

Section 1 - From July 2025 till November 2025:

Use Case 1: From July 2025 till November 2025 (mapping Fedwire new parties Hybrid Postal address into CBPR+ Structured/Unstructured address):

- Fedwire Senders should avoid using the free-formatted *Address Line* element(s) (2 x 70 characters) in the hybrid postal address for new parties until November 2025. If address information is not available in structured format, Fedwire Sender should only provide *Town Name* and *Country* in the interim.

- If free-formatted *Address Line* element(s) is used (2 x 70 characters), then [5]

[5] While an alternative workaround could be to map the unstructured *Address Line* element(s) into structured postal address elements, this could lead to inconsistent mappings as mapping would depend on which structured elements are available.

- Map the *Address Line* content into *InstructionForCreditor Agent/AdditionalInformation (2 x 140 characters)* if not used already.
- If *Instruction ForCreditorAgent*/AdditionalInformation has already been used, map *Address Line* content into the Unstructured RemittanceInformation *element* if not used already.

Note: For both options, the appropriate prefix as shown in the below table should be used to identify which new party the information belongs to:

Actor	Prefix
Initiating Party	/INIT/
Ultimate Debtor	/ULTD/
Ultimate Creditor	/ULTB/
Invoicer	/INVR/
Invoicee	/INVE/
Garnishee	/GARR/
Garnishment Administrator	/GARA/
Originator (pacs.004 only)	/ORGT/
Related Remittance Info	/RREM/

Example:

Incoming Fed	Outgoing CBPR+	Comments
<UltmCdtr> <Nm>The Royal Lyceum Theatre</Nm> <PstlAdr> <TwnNm>Edingburgh</TwnNm> <Ctry>GB</Ctr> <AdrLine>30b Grindllay Street</AdrLine> <AdrLine>EH3 9AX Scotland</AdrLine> </PstlAdr> <UltmCdtr>	<UltmCdtr> <Nm>The Royal Lyceum Theatre</Nm> <PstlAdr> <TwnNm>Edingburgh</TwnNm> <Ctry>GB</Ctr> </PstlAdr> <InstrForCdtrAgt> <InstrInf>/ULTB/30b Grindllay Street, EH3 9AX Scotland </InstrInf> </InstrForCdtrAgt>	The incoming Fedwire message carries a hybrid address in the Ultimate Creditor element which needs to be mapped into an outbound CBPR+ message. The structured elements can be mapped into the structured address format of the outbound message and any free format data will be placed in the Instruction For Creditor Agent element with the appropriate code word.

Fedwire Receivers need to decide if they can support the mapping logic outlined above. If considered too time consuming to implement, the decision may be to return the payment. [6]

Use Case 2: Mapping inbound CBPR+ message with *Ultimate Creditor* postal address *Country* only into Fedwire Funds and CHIPS:

[6] Use return payment (pacs.004) reason code *NARR* with *Additional Information* "Error validating payment instruction against CBPR+ schema".

- Fedwire/CHIPS Senders need to provide the town or add "Not Provided" in *Town Name* in the outbound Fedwire/CHIPS message.

Fedwire/CHIPS Senders need to decide if they can support the repair logic outlined above. If considered too time-consuming to implement, the decision may be to reject or return the payment. [7]

Use Case 3: A pacs.009 cover message with hybrid address format in existing parties or agents in the underlying credit transfer segment should be forwarded via an alternative payment network such as CHIPS, if possible. If the next agent is not reachable via an alternative network and Fedwire is the only option, the hybrid address data elements should be mapped under the *InstructionForCreditorAgent/ AdditionalInformation* element in the *Underlying Customer Credit Transfer* segment. If truncation is needed, "+" sign should be used (in this case please refer to CBPR+_US Market Practice to handle Hybrid Postal Address, published on MyStandards/Fedwire Funds Service group: https://www2.swift.com/mystandards/#/mp/mx/_ozvbgCxpEeyCOPAtSa9DrA!usage_guidelines.

Fedwire Senders need to be aware that returning pacs.009 cover message due to data incompatibility issues will cause delayed settlements of direct and cover payments.

Section 2 - From November 2025 till Fedwire Funds Service future maintenance:

Use Case 4: Mapping inbound CBPR+ message with hybrid postal address format for existing parties and any agent into Fedwire Funds Service (as of Nov 2025 [8]).

- If free-formatted *Address Line* element(s) is not used, then Fedwire Senders should map the structured address information from the inbound CBPR+ message in the corresponding structured address elements of the Fedwire Funds Service fully structured postal address implementation.

- If free-formatted *Address Line* element(s) is used, then [9]

  ○ Map the *Address Line* content into *InstructionForCreditorAgent/Additional Information* element if not used already

  ○ If *InstructionForCreditorAgent/AdditionalInformation* is not available, map *Address Line* content into Unstructured Remittance Information if available.

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[7] Depending on use case use payment status report (pacs.002) or return payment (pacs.004) reason code *NARR* with *Additional Information* "Error validating payment instruction against Fedwire Funds/CHIPS schema".

[8] Until the moment the Fedwire Funds Service introduces hybrid postal address for existing parties and all agents (post-March 2025 maintenance not yet scheduled).

[9] While an alternative workaround could be to map the unstructured *Address Line* element(s) into structured postal address elements, this could lead to inconsistent mappings as mapping would depend on which structured elements are available.

Note: For both options, the appropriate prefix as shown in the below table should be used to identify which new party the information belongs to:

Actor	Prefix
Debtor	/DEBT/
Debtor Agent	/DTAT/
Previous Instructing Ag	/INS1/
Previous Instructing Ag	/INS2/
Previous Instructing Ag	/INS3/
Intermediary Agent 1	/INTA1/
Intermediary Agent 2	/INTA2/
Intermediary Agent 3	/INTA3/
Creditor Agent	/CTAT/
Creditor	/CRED/

Fedwire Senders need to decide if they can support the mapping logic outlined above. If considered too time-consuming to implement, the decision may be to reject or return the payment. [10]

Section 3 - From November 2026:

Use Case 5: Mapping Fedwire existing parties and all agents' fully unstructured address into outbound CBPR+ message only allowing fully structured or hybrid postal address formats (as of Nov 2026).

For cross-border payments the recommendation is to use fully structured address data only or identify agents or eligible parties with a BIC (BICFI or AnyBIC) only.

Section 4 - Other risks:

Use Case 6: Mapping Fedwire Funds Service and CHIPS new parties without postal address information in outbound CBPR+ message where textual rules require postal address information.

Swift FINPlus does not validate textual rules and will not reject CBPR+ messages sent without postal address information.

[10] Use return payment (pacs.004) reason code *NARR* with *Additional Information* "Free-formatted Address Line not supported by Fedwire Funds Service schema".

IV. Alternative market practices to address interoperability issues

An alternative proposal to the market practices described above for mapping of hybrid postal address information is to map the incoming free-formatted address lines into structured address elements as follows:

- If free-formatted *Address Line* element(s) is used (2 x 70 characters), then [11]
    - Map the first *Address Line* content into *Postal Address/Department (70 characters)* if not used already.
    - Map the second *Address Line* content into *Postal Address/ Sub Department (70 characters)* if not used already.
    - If *Postal Address/Department or Postal Address/ Sub Department* has already been used, map *Address Line* content into the *Unstructured Remittance Information element* if not used already.

The benefit of this approach is that *Department* and *Sub Department* are rarely used according to an analysis that has been conducted, and the length of both target elements corresponds to the length of the source free-formatted address line elements (i.e., 70 characters each).

Fedwire Senders need to decide if they can support this alternative mapping logic outlined above and whether mapping information into Department and Sub Department elements poses a risk.

If considered too time-consuming to implement, the decision may be to reject or return the payment. [12]

[11] While an alternative workaround could be to map the unstructured *Address Line* element(s) into structured postal address elements, this could lead to inconsistent mappings as mapping would depend on which structured elements are available.

[12] Use return payment (pacs.004) reason code *NARR* with *Additional Information* "Free-formatted Address Line not supported by Fedwire Funds Service schema".

Summary – Hybrid Postal Address Implementation

(Grey cells = Co-Existence MP required)

Yes = Hybrid Address implemented

No = Hybrid Address not implemented

Actor	Prefix	Fedwire	CBPR+/CHIPS	Fedwire	CBPR+/CHIPS
		14-Jul-25		22-Nov-25	
Initiating Party	/INIT/	Yes	No	Yes	Yes
Ultimate Debtor	/ULTD/	Yes	No	Yes	Yes
Debtor	/DEBT/	No	No	No	Yes
Debtor Agent	/DAGT/	No	No	No	Yes
Previous Instructing Agent 1	/INS1/	No	No	No	Yes
Previous Instructing Agent 2	/INS2/	No	No	No	Yes
Previous Instructing Agent 3	/INS3/	No	No	No	Yes
Intermediary Agent 1	/INTA1/	No	No	No	Yes
Intermediary Agent 2	/INTA2/	No	No	No	Yes
Intermediary Agent 3	/INTA3/	No	No	No	Yes
Creditor Agent	/CAGT/	No	No	No	Yes
Creditor	/CRDT/	No	No	No	Yes
Ultimate Creditor	/ULTB/	Yes	No	Yes	Yes
Invoicer	/INVR/	Yes	No	Yes	Yes
Invoicee	/INVE/	Yes	No	Yes	Yes
Garnishee	/GARR/	Yes	No	Yes	Yes
Garnishment Administrator	/GARA/	Yes	No	Yes	Yes
Originator (pacs.004 only)	/ORGT/	Yes	No	Yes	Yes
Related Remittance Info	/RREM/	Yes	No	Yes	Yes